

Table 44.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Subtract the lowest low from the highest high in the horn to get the pattern's height. To find the target, subtract the height from the lowest low. The lower portion of this table shows how often the measure rule works.
Threat assessment	Look for an uptrend spanning many months. Such uptrends often show horns near the end of the trend. If the horn top appears near the end of a long <i>downtrend</i> , then it is best to avoid it. Watch out for horns appearing after a downward trend when the trend changes and price starts moving higher (an upward retrace in a downtrend). Price may decline, but the decline is usually short-lived (as in the rise between a double bottom).
Trend change	A horn top usually signals an approaching trend change, often in less than 2 months.
Stop location	Use Table 44.7 for help with stop placement.
Busted trade	Single busted horn tops show good performance. See Table 44.9 .
Tips	See text.

Description	Bull Market	Bear Market
Percentage reaching half height target	81%	83%
Percentage reaching full height target	54%	56%
Percentage reaching 2× height	23%	23%
Percentage reaching 3× height	11%	12%

For example, say a horn has a high price of 10 and a low of 9, for a height of \$1. Subtract the height from the low to get a target of 8. A \$1 decline in a stock with a breakout price of 9 means an 11% decline. (Let's pretend the decline is an even 10%.) [Table 44.3](#) says that over 30% of horn tops in bull markets will fail to see price drop more than 10%. That means if you trade